

SCORECARD



Weighted overall 6.5/10 · Decision quality 5.8/10

EXECUTIVE SUMMARY

Northwind Robotics addresses a validated labor shortage in warehouse picking with a hardware solution priced at ~52% below incumbents (\$148K vs \$310K). Early traction is compelling: two paid pilots converted to three-year contracts totaling \$1.48M, demonstrating product-market fit in mid-size 3PL segment (21,400 US facilities). Technical performance exceeds human benchmarks (4.2s vs 6.1s cycle time, 98.4% pick success). However, critical execution risks remain: no contract manufacturer selected, no VP Sales hired, only provisional IP, and 31% current gross margin creates pathway concerns...

STRENGTHS

- Strong early traction: \$1.48M contracted revenue from two paying customers with 100% NRR and third LOI for 12 arms (Slide 6)
- Compelling unit economics: 14-month customer payback vs \$71K annual labor cost, addressing 490K unfilled roles with 46% turnover (Slides 2, 7)
- Significant cost advantage: \$148K installed price point enables TAM expansion into 21,400 mid-size facilities (20K-50K sq ft) previously uneconomical for \$310K incumbent systems (Slides 3, 5)

CONCERNS

- Critical supply chain gaps: Contract manufacturer unselected and actuator supply agreement unsigned as of pitch (Slide 10), creating existential delivery risk with customer contracts already signed
- Weak IP moat: Only two provisional patents on gripper mechanism, zero granted composition or method patents (Slide 9), vulnerable to well-funded European competitor entering US market
- Incomplete commercial function: No VP Sales hired, only 10 arms deployed across 2 customers, yet projecting 40 arms in 18 months requires 4x deployment acceleration and new customer acquisition engine (Slides 8, 10)

SCENARIOS

Best 20%

· Successfully deploys 50+ arms by Series A with 6+ customers across multiple 3PL operators and adjacent verticals · Incumbent B delays US entry by 18+ months, providing clear market window

Base 50%

· Reaches 40 arms deployed across 5-6 customers by Series A milestone at end of 18 months · Gross margin improves to 45% at 100-150 units produced through manufacturing partner optimization

Worst 30%

· Manufacturing delays due to unselected contract manufacturer and unsigned actuator agreements jeopardize existing customer contracts · Only reaches 20-25 arms deployed by month 18 due to sales execution gaps without VP Sales

Expected outcome. Northwind represents a high-risk, potentially high-return seed investment in a validated market with early commercial traction but significant execution hurdles. The probability-weighted expected outcome is approximately 1.5-2.0x return, driven by: (1) 50% probability of base case achieving Serie...

TOP RISKS

Risk	Prob / Impact	Mitigation
Execution. Contract manufacturer not yet selected and actuator supply agreement unsigned (Slide 10), yet company has \$1.48M in customer contracts requiring delivery. This creates existential fulfillment risk and potential custo...	High / High	Prioritize manufacturer selection and lock in actuator supply in first 90 days post-close. Build buffer inventory. Maintain transparent communication with existing customers on delivery schedules.
Competitive. Well-funded European competitor (Incumbent B) shipping comparable arm to EU since Q4 2025 with no announced US entry (Slide 9). Once they enter US, may have brand, funding, and operational advantages. Only provisiona...	Medium / High	Accelerate customer acquisition to build installed base and switching costs. Fast-track patent prosecution. Develop integration IP and customer data advantages. Consider geographic expansion to create scale advantage...
Execution. No VP Sales hired (Slide 8) yet company must grow from 10 to 40 arms deployed in 18 months = 4x deployment acceleration requiring new customer acquisition. Current traction driven by founder-led sales which doesn't s...	High / Medium	Make VP Sales hire top priority post-close. Document existing sales playbook. Leverage existing customers for case studies and references. Consider sales development rep(s) to generate pipeline while searching for VP.
Financial. 31% current gross margin (Slide 7) with path to 52% at 500 units/year, but no detail on bridge or timeline. If margin improvement doesn't materialize, unit economics may not support growth without significant additio...	Medium / Medium	Model gross margin assumptions with bottom-up cost breakdown. Lock in component pricing with volume commitments. Identify value engineering opportunities early. Establish margin milestones and track monthly.

4 further risks identified — see the full analysis.

TOP 5 DILIGENCE QUESTIONS

- What is your plan and timeline to select a contract manufacturer and sign the actuator supply agreement, given you have \$1.48M in customer contracts requiring fulfillment and this is listed as incomplete as of this deck?
- Can you provide a bottom-up gross margin bridge showing exactly which cost components improve from 31% to 52% as you scale from 10 units to 500 units, with validation from supplier quotes?
- Why is only \$310K of \$1.48M contracted revenue recognized to date—is this revenue recognition policy, delivery schedule, or payment terms—and what does this tell us about your cash conversion cycle?
- What is your VP Sales search process and timeline, what profile are you targeting, and how do you plan to achieve 4x deployment growth (10 to 40 arms) in 18 months without this critical hire in place?
- What defensive moat exists beyond two provisional gripper patents given the well-funded European competitor, and what is your strategy if Incumbent B enters the US market in the next 12 months with comparable or superior pricing?

BULL CASE

Northwind has cracked a high-value market dislocation: 490K unfilled warehouse picking roles with 46% annual turnover, addressable by a solution priced at half the incumbent cost (\$148K vs \$310K). The company demonstrates rare early-stage evidence of product-market fit—two paid pilots converted to multi-year contracts totaling \$1.48M, 100% NRR with customer expansion, and a third LOI. The technical solution is compelling: 31% faster than human pickers (4.2s vs 6.1s), 98.4% su...

BEAR CASE

Northwind is a hardware company attempting to scale without fundamental infrastructure in place. They have \$1.48M in customer contracts but no contract manufacturer selected and no actuator supply agreement signed as of this pitch—an existential execution risk that could crater customer relationships if delivery slips. The competitive position is fragile: only two provisional patents on the gripper mechanism provide minimal defensibility against a well-funded European competi...